Comparison of Railroad and Public-utility Gross and Net with the Average Yield on High-Grade Railroad and Utility Bonds, 1926–1938 (Unit $1,000,000)

	Railroads			Public utilities		
Year	Gross[1]	Net railway operating income[2]	Yield on railroad bonds, %[3]	Gross[4]	Net[5] (index %)	Yield on public-utility bonds, %[3]
1926	$6,383	$1,213	5.13	$1,520	100.0	5.11
1927	6,136	1,068	4.83	1,661	106.8	4.96
1928	6,112	1,173	4.85	1,784	124.0	4.87
1929	6,280	1,252	5.18	1,939	142.5	5.14
1930	5,281	869	4.96	1,991	127.7	5.05
1931	4,188	526	6.09	1,976	123.5	5.27
1932	3,127	326	7.61	1,814	96.6	6.30
1933	3,095	474	6.09	1,755	98.2	6.25
1934	3,272	463	4.96	1,832	88.1	5.40
1935	3,452	500	4.95	1,912	92.9	4.43
1936	4,053	667	4.24	2,045	120.7	3.88
1937	4,166	590	4.34	2,181	125.8	3.93
1938	3,565	373	5.21	2,195	106.0	3.87

[1] Railway operating revenues for all Class I railroads in the United States (I.C.C.).
[2] Net railway operating income for the same roads (I.C.C.).
[3] Average yields on 40 rail and 40 utility bonds, respectively, as compiled by Moody's.
[4] Revenues from the sale of electric power to ultimate consumers, compiled by Edison Electric Institute. Data from 90% of the industry are adjusted to cover 100% of the industry (*Survey of Current Business*).
[5] Index of corporate profits of 15 public utilities, compiled by Standard Statistics Company, Inc. Figures are annual averages of quarterly relatives in which 1926 is the base year.

a "laboratory test" of investment standards, involving degrees of stress not to be expected in the ordinary vicissitudes of the future. Even though the conditions prevalent in those years may not be duplicated, the behavior of various types of securities at the time should throw a useful light on investment problems.

Various Causes of Bond Collapses. 1. *Excessive Funded Debt of Utilities.* If we study the bond issues which suffered collapse in the post-bubble period, we shall observe that different causes underlay the troubles of each group. The public-utility defaults were caused not by a disappearance of earnings but by the inability of overextended debt structures to withstand a relatively moderate setback. Enterprises capitalized on a